

THE LANDLORD GUIDE

5 questions every landlord should ask *before they sell.*

A short field guide for Greater Boston landlords thinking about getting out, cashing in, or redeploying. The questions inside are the ones that change the path, the tax bill, and what your next chapter actually looks like.

BEFORE YOU START

Most landlords sell *into the wrong path*.

The default move when a landlord is ready to be done is to list the building on the open market and see what happens. Sometimes that is the right move. Often it is not. A rental sale has more variables than a primary home sale. Tenant status. Lease terms. Capital gains. Depreciation recapture. Deferred maintenance. Lead paint compliance. The condition of the systems. Which buyer pool the property actually fits. Each one changes the path, the price, and the tax bill.

The landlords I have watched exit calmly do not start with how to sell. They start with what they actually want on the other side of the sale. Then they work backwards into the path that gets them there with the least tax friction, the least drama with tenants, and the least money left on the table. These are the five questions I run every landlord through before the sign goes up or the off-market call gets made.

How to use this guide

Read all five. Sit with the ones that surprise you. Bring the answers, or the questions you cannot answer, to whoever you trust to help you decide, including your CPA. Or bring them to me on a 30 minute strategy session. There is no commitment to list.

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QUESTION ONE · THE REAL REASON

What are you actually trying to accomplish by selling, *beyond just being done*?

WHY IT MATTERS

Most landlords name a surface reason. The tenants are exhausting. The building needs work you do not want to do. The market feels high. The rate is too tempting to give up on. Those are real, but they are the symptom, not the strategy. Selling into a symptom usually solves the wrong problem and creates a new one.

The real question is what you want on the other side. Cash in hand and out of real estate. Cash redeployed into a different property that runs itself. Equity moved into something more passive. A 1031 into a different market or asset class. Retirement income from the proceeds. Each of those points to a different sale strategy, a different timeline, and a different tax conversation. The path is decided by where you are going, not by what is annoying you today.

WATCH OUT FOR

Anyone who skips the why and goes straight to "list it." The why decides the how.

02

QUESTION TWO · THE TENANT QUESTION

Are you selling with tenants in place, *or delivering the building vacant?*

WHY IT MATTERS

This decision often gets made by accident, based on what feels easiest in the moment. Selling occupied is easier in the short term because no one has to be moved. Selling vacant is usually easier in the long term because the buyer pool is larger and the price is often higher. The two paths can produce meaningfully different sale prices for the same building, and the path you pick has knock-on effects on timing, financing options for the buyer, and your liability during the marketing period.

Vacant delivery usually opens the building up to owner-occupant buyers who can pay more than an investor will. Occupied with strong tenants, clean leases, and a tidy rent roll tells an investor a clear story. Occupied with month-to-month, under-market rents, or paperwork gaps is the hardest sell on either path. In Massachusetts, the choice also runs through tenant rights, notice periods, and what you can actually do legally and gracefully. Make this decision on purpose, with the numbers and the law in front of you, before you decide how to market the building.

WATCH OUT FOR

Advice that treats vacant versus occupied as a preference. It is a strategy question with real money attached.

03

QUESTION THREE • THE TAX QUESTION

Have you mapped the tax bill on this sale, *including depreciation recapture and a possible 1031 exchange?*

WHY IT MATTERS

Most landlords think about taxes after the offer is on the table. By then it is usually too late to structure the sale efficiently. A sale that nets a great number on the settlement statement can quietly hand a meaningful slice of the proceeds to the IRS once depreciation recapture, federal capital gains, state capital gains, and the net investment income tax all land. The number that hits your bank account is not the contract price.

The tax conversation belongs at the very beginning, not the end. A 1031 exchange into another investment property can defer the entire gain if it fits your goals. A partial 1031, an installment sale, the timing of the close across a tax year, or simply understanding the real number you will keep after taxes are all conversations to have before the listing decision, not after. The right path for one landlord is the wrong path for another, and the difference is often a number that would have changed your decision.

WATCH OUT FOR

Anyone who talks about price without talking about your after-tax net. If you do not already have a CPA who works with real estate investors, find one before you make the listing decision.

04

QUESTION FOUR · THE PATH

Which buyer pool actually fits this building, *and how do you reach them?*

WHY IT MATTERS

Most rental sales get listed on the open market by default. That works well for some buildings and badly for others. A three-family in good condition with strong rents and an owner-occupant buyer pool is one conversation. A tired multifamily with deferred maintenance, lead paint to address, and aging systems is a different conversation. A small portfolio is a different conversation again. Picking the wrong path usually shows up as low traffic, weak offers, and a slow price reduction.

Match the path to the building. Open market with clean photos and tight tenant paperwork for a turnkey property an owner-occupant can buy. Off-market to a vetted investor network for a building that needs work or where privacy and certainty matter more than top dollar. A direct conversation with the neighbor or the abutting owner for buildings where the assembly is worth more than the property alone. Each path has a different price, a different timeline, and a different level of disruption. The right one is decided before the listing decision, not after.

WATCH OUT FOR

Anyone who says "just list it" without first asking what condition the building is in and which buyer it actually fits. The path decides the price.

What is the plan for the proceeds *the day after closing*?

WHY IT MATTERS

Most landlords focus everything on getting to the closing table and very little on what happens after. Then the wire hits, the proceeds sit in a money market account slowly losing ground to inflation, and the next decision gets made in a fog. The exit was the entire plan. There was no next chapter.

The proceeds should already have a plan before the building goes under agreement. A 1031 into a specific asset class and a specific submarket, with backup properties identified inside the 45 day window. A move into a more passive vehicle. A paydown of other debt. A funded retirement. A piece set aside for the next opportunity. The sale that builds long term wealth is the one where the next move is decided before the current one closes, not after.

WATCH OUT FOR

A closing date with no answer to what the money does on day one. That gap is where wealth quietly leaks.

READY WHEN YOU ARE

Want to map the right exit *on* *your building?*

These are not the only questions worth asking before a rental sale. They are the ones I have watched separate the exits that build wealth from the ones that quietly hand it away. If you want to walk through them on your specific building and your specific situation with me, that is what a strategy session is for. No commitment to list.

Book my strategy session

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Krista Recker Properties

Strategy first. Decisions backed by data.